

GOVERNMENT SECURITIES

Bond Challenges

The inclusion of Indian government securities in JPMorgan's emerging markets index, although positive, needs to be monitored closely

BY ANAND ADHIKARI

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► **THEORETICALLY, JPMORGAN'S DECISION** to include Indian government bonds (IGB) in its emerging markets government bond index appears to be a game changer. The move is expected to channel \$25-30 billion of foreign funds into India's government bond market. The increased participation of foreign investors in the Indian bond market could enhance the market's depth, help reduce the government's cost of raising funds, incentivise the government to pursue favourable macroeconomic and fiscal management policies—a long-standing market demand—and also improve India's external balance sheet by way of higher forex re-

LIMITED IMPACT
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serves, and stabilise the rupee's valuation against the US dollar. However, in practice, there may be uncertainties along the way that could make achieving these objectives a challenge.

India's inclusion in JPMorgan's Government Bond Index-Emerging Markets (GBI-EM) will start in June 2024, with the global financial giant set to increase India's share in the index by 1 percentage point every month until it reaches a weightage of 10 per cent by March 2025. "We estimate that FPI (foreign portfolio investors) ownership in IGBs should rise to 4 per cent by FY25, and further to a minimum of 6-7 per cent over the next two to three years from the current 1.4 per cent, assuming that the share of other participants remains around similar levels," states a report by Nuvama Fixed Income Research. A report by Fitch Ratings, however, states that foreign investors currently own a fairly small percentage of IGBs available to them, so their influence on debt pricing is likely to be limited. Market experts suggest that the ideal holding should be 10-15 per cent of the total stock, at which point their participation may become more meaningful.

While FPI inflows in IGBs are expected to constitute less than 5 per cent of the overall stock of outstanding bonds post inclusion, its impact from a one-year perspective would be substantial. "In the

